IN THE BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

KING'S BENCH DIVISION

CIRCUIT COMMERCIAL COURT (KBD)

Claim No. CC-2025-LON-000512

B E T W E E N :

WEXFORD CONSUMER BRANDS LIMITED

Claimant

- and -

PINNACLE SYSTEMS LIMITED

Defendant

PARTICULARS OF CLAIM

The parties

1. The Claimant ("Wexford") is a company incorporated in England and Wales and a wholly-owned subsidiary of Wexford Holdings Limited. It manufactures and distributes chilled and ambient food products from production and distribution sites at Banbury, Wakefield and Avonmouth, supplying the major UK grocery multiples.

2. The Defendant ("Pinnacle") is a company incorporated in England and Wales which supplies enterprise resource planning ("ERP") and warehouse management ("WMS") software and related implementation, configuration and data-migration services.

The Agreement

3. By a written agreement dated 4 March 2024 (the "Agreement") Pinnacle agreed to licence to Wexford, and to configure, implement, migrate data to and commission, the Pinnacle ERP and WMS platform (the "System") across Wexford's three sites, in consideration of charges of £1,840,000 (exclusive of VAT) comprising licence fees of £640,000 and implementation and professional services fees of £1,200,000.

4. The Agreement incorporated, and is to be read together with, (a) the Statement of Requirements dated 26 January 2024; (b) the Solution Design Document dated 19 February 2024; and (c) the Project Plan, which provided for phased go-live commencing at Banbury on 1 October 2024.

Express terms

5. The Agreement contained the following express terms, among others:

   (a) by clause 4.1, Pinnacle would perform the implementation services with reasonable care and skill and in accordance with good industry practice;

   (b) by clause 5.2, the System would, on go-live, conform in all material respects to the Statement of Requirements and the Solution Design Document;

   (c) by clause 6.3, Pinnacle would achieve User Acceptance Testing ("UAT") exit and a successful go-live by the milestone dates in the Project Plan;

   (d) by clause 6.5, time was of the essence in respect of the go-live milestone; and

(e) by clause 11, Pinnacle warranted that the System would be free from material defects and would correctly perform the lot-traceability, inventory and despatch functions specified in Schedule 2.

Implied terms

6. Further or alternatively, it was an implied term of the Agreement, by section 13 of the Supply of Goods and Services Act 1982, that Pinnacle would carry out the implementation services with reasonable care and skill.

Breach

7. In breach of the express and implied terms set out above, Pinnacle failed properly or at all to implement the System. The breaches are particularised as follows.

PARTICULARS OF BREACH

(i) At the first formal UAT cycle in August 2024 the System failed 41 of 96 critical test scripts, including inventory accuracy, lot-traceability and despatch confirmation.

(ii) Pinnacle proceeded to a go-live at the Banbury site on 4 November 2024 when it knew, or ought to have known, that the System contained material defects and had not achieved UAT exit, contrary to clauses 5.2, 6.3 and good industry practice.

(iii) On go-live, the data migration corrupted stock records: opening on-hand quantities were materially mis-stated and the WMS was unable to reconcile pallet locations, halting despatch from the Banbury site for nine days from 4 to 12 November 2024.

(iv) The lot-traceability function did not operate, such that Wexford was unable to trace finished goods to raw-material batches, in breach of clause 11 and contrary to Wexford's legal and customer-mandated obligations as a food business.

(v) As at termination, 28 priority-1 and priority-2 defects logged between November 2024 and January 2025 remained unresolved, and Pinnacle failed to provide any credible remediation plan.

(vi) Pinnacle failed to achieve the go-live milestone at all, time being of the essence.

Repudiation and termination

8. The breaches set out above, individually and cumulatively, deprived Wexford of substantially the whole benefit of the Agreement and amounted to a repudiation of the Agreement by Pinnacle. By letter dated 24 January 2025 Wexford accepted the repudiation and terminated the Agreement; alternatively Wexford was entitled to and did terminate under clause 18.2 of the Agreement for material breach not remedied within 30 days of notice.

Loss and damage

9. By reason of the matters aforesaid Wexford has suffered loss and damage, particulars of which are set out in the Schedule of Loss served herewith and summarised as follows:

Head of loss

Head of loss	Amount (£)
Wasted expenditure (charges paid to Pinnacle and project costs thrown away)	1,840,000

Cost of procuring and implementing a replacement system	760,000
Business interruption and loss of profit (Banbury go-live failure)	985,000
Total	3,585,000

The limitation clause

10. Wexford anticipates that Pinnacle will rely on clause 22 of the Agreement. Wexford's case is that, on its true construction, clause 22 does not exclude the heads of loss claimed; alternatively that clause 22 is unenforceable by reason of section 3 and/or section 7 of the Unfair Contract Terms Act 1977, being a term which fails to satisfy the requirement of reasonableness; further or alternatively that the cap does not apply to liability arising from Pinnacle's decision to proceed to go-live in the circumstances pleaded above.

Interest

11. Wexford claims interest on the sums found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit.

AND the Claimant claims:

12. Damages in the sum of £3,585,000, alternatively damages to be assessed;
13. Interest pursuant to section 35A of the Senior Courts Act 1981;
14. Costs; and
15. Such further or other relief as the Court thinks fit.

HARRIET STANFORD

Eldon Chambers

STATEMENT OF TRUTH

The Claimant believes that the facts stated in these Particulars of Claim are true. I am duly authorised by the Claimant to sign this statement.

Signed: …… Dated: 11 April 2025

Name: Edward Pennington Position: Director, Wexford Holdings Limited (on behalf of the Claimant)

Whitfield Carter LLP, 22 Bishopsgate, London EC2N 4BQ — Solicitors for the Claimant